



- Precious metals like gold and silver appreciate over time and are therefore a good hedge against unforeseen political uncertainties.

Thus each investment product has different distinct characteristics and each is designed to satisfy a peculiar need. Each is designed to do something different.



Investment Procedures

These are nothing but techniques, methods or formulae for dealing in the various investment products.

- If one were to buy an investment product and hold it, then the procedure adopted is called going *long*.
- If one were to sell an investment product and then buy it the procedure adopted is called going *short*.
- If one buys and then sells, the procedure is called *trading*.

There have been various innovations in investment procedures by the introduction of the Futures and Options markets. We have thus different procedures to speculate and hedge in the form of call options, put options, and futures. All these different types of procedures make the financial markets interesting.



Investor Classification

Investors are classified by the products they use and the procedure adopted by them.

- A stock trader is one who uses the product *stock* and the procedure *trading*.
- A long-term investor on the other hand uses the product *stock* and the procedure of *buying and holding long*.
- A short seller uses the same product *stock* and the procedure of *selling and then buying back*.